

STOCK PULSE

Bharti Airtel Ltd (BHARTIARTL • NSE/BSE)

Sector: Telecommunication | Pulse Score: 4/10 (WEAK) | Data Confidence: 14/14 (HIGH) | Horizon: 10Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 1,862.8	52-WEEK HIGH / LOW Rs. 2,174.5 / Rs. 1,740.5
MARKET CAPITALISATION Rs. 11,65,710 Cr	PRIMARY SECTOR Telecommunication
CMP (Rs. 1,862.8) is +7.0% above 52W Low (Rs. 1,740.5) and -14.3% below 52W High (Rs. 2,174.5) — trading in mid-range (28th percentile of 1-year band).	

02 Business & Operational Overview

Bharti Airtel Ltd is one of the world's leading providers of telecommunication services with presence in 18 countries representing India, Sri Lanka, 14 countries in Africa.
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03 Valuation Multiples & Benchmark Banding

PREMIUM

STOCK P/E RATIO 71.5 Fair Band: 20.4 - 27.6	PRICE TO BOOK (P/B) 7.08 BV: Rs. 263
DIVIDEND YIELD 1.29% Face Value: Rs. 5	SECTOR BENCHMARK P/E 24 197.9% vs Sector

04 Mathematical Valuation Triangulation

DEMANDING

REVERSE DCF IMPLIED GROWTH 25% WACC: 11.5%	10Y VALUATION QUANTILE 43th %ile 10Y Med: 74.9	EARNINGS POWER VALUE (EPV) Rs. -134 Growth Premium
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Triangulation Narrative: At current enterprise value (Rs. 14,82,277 Cr), market prices in a 25% annual FCF growth rate for 10 years (WACC: 11.5%, Terminal: 4.5%). Trades at the 43th percentile of its 10-year valuation range [57.6 - 87.2], with 10Y median P/E at 74.9.

05 Peer Comparison & Recent Headlines

PEER COMPANY	P/E	ROCE	MARKET CAP	RELATIONSHIP
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Peer Selection Rationale: Discovered from exchange sector classification. Sector Benchmark P/E reflects peer basket median.

Recent Corporate News Headlines (Most Recent First):

- [14 Aug 2026] undefined - Uninvest
- [7 Aug 2026] undefined - simplywall.st
- [16 Jun 2026] undefined - TradingView

06 Growth & Operating Trajectory

SLOWING

REVENUE 3Y / 5Y CAGR 9.8% / 11.97%	TTM Sales: Rs. 1,24,600 Cr	PROFIT 3Y / 5Y CAGR 45.64% / Not found	TTM PAT: Rs. 15,408 Cr
EBITDA MARGIN PROFILE TTM: 58%	Latest Qtr (Jun 2026): 59%	NET MARGIN PROFILE TTM: 12.37%	Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 26.05	3Y EPS CAGR: 43.48%	OPERATING CASH FLOW GROWING	Cash Flow Quality

Margin Bridge: TTM EBITDA margin (58%) reflects operating cash profitability before D&A; Net margin (12.37%) accounts for D&A, interest, and taxes.

07 5-Stage DuPont ROE Decomposition

Margin Pricing Power (Moat)

TAX BURDEN (PAT / PBT) 0.73	Earnings Retention Drag	INTEREST BURDEN (PBT / EBIT) 0.4	Financial Cost Drag
OPERATING MARGIN (EBIT / SALES) 58.1%	Core Business Profitability	ASSET TURNOVER (SALES / ASSETS) 0.31x	Asset Utilization Velocity
FINANCIAL LEVERAGE (ASSETS / EQUITY) 2.49x	Balance Sheet Gearing	RECONSTITUTED ROE 13.1%	Primary Driver: Margin Pricing Power (Moat)

DuPont Formula Identity: Tax (0.73) × Interest (0.4) × Margin (58.1%) × Turnover (0.31x) × Leverage (2.49x) = Reconstituted ROE (13.1%).

08 Working Capital & Cash Conversion Cycle (10Y Trend)

EFFICIENT

DEBTOR DAYS (DSO) 9 Days	Receivables Collection Period	INVENTORY DAYS (DIO) 50 Days	Stock Holding Period
DAYS PAYABLE (DPO) 60 Days	Supplier Credit Utilization	CASH CONVERSION CYCLE (CCC) 9 Days	Trend: CONTRACTING

Cash Conversion Cycle is 9 days (DSO 9d + Inventory 0d - Payables 0d). Trend: CONTRACTING.

09 Return on Incremental Invested Capital (ROIIC)

VALUE CREATOR

3Y INCREMENTAL ROIIC (ROIIC) 11.4%	Spread: +0.1% over WACC	5Y INCREMENTAL ROIIC (ROIIC) 14.7%	Multi-year capital compounding
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Capital Deployment Efficacy: 3Y Incremental ROIIC stands at 11.4% (5Y: 14.7%). Management deployed Rs. 1,46,805 Cr of fresh invested capital to generate Rs. 16,676 Cr of incremental NOPAT.

10 Financial Health & Solvency (Aggregated)

WATCH

DEBT TO EQUITY (D/E) 0.9	WATCH (<=0.5)	INTEREST COVERAGE 4.69x	WATCH (>=5.0x)
CURRENT RATIO 0.66	WEAK (>=1.0)	FREE CASH FLOW TREND GROWING	HEALTHY

Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Sub-1.0 liquidity is common in heavy capex sectors when operating cash flow is positive.

FORENSIC ACCOUNTING & FINANCIAL STATEMENT INTEGRITY AUDIT

Mathematical screening across Beneish M-Score, Altman Z"-Score, Piotroski F-Score, and Sloan Accruals.

11 Beneish M-Score (8-Variable Manipulation Index)

SAFE

DSRI (DAYS SALES IN RECEIVABLES) 0.95	Receivables vs Sales Velocity	GMI (GROSS MARGIN INDEX) 1	Margin Degradation Signal
AQI (ASSET QUALITY INDEX) 1.14	Non-Current Asset Capitalization	SGI (SALES GROWTH INDEX) 1.03	Top-line Expansion Acceleration
DEPI (DEPRECIATION RATE INDEX) 0.96	Asset Useful Life Extension	SGAI (SGA EXPENSE INDEX) 1	Administrative Cost Drag
LVGI (LEVERAGE INDEX) 0.93	Balance Sheet Debt Gearing	TATA (TOTAL ACCRUALS TO ASSETS) -0.149	Accounting Profit Accrual Drag
Beneish Result: M-Score = -2.7 Verdict: SAFE (Low (<2%) Manipulation Risk) Threshold: -1.78 (Safe <= -2.22)			

12 Altman Z"-Score (Emerging Market Solvency & Credit Risk)

SAFE ZONE

WORKING CAPITAL / ASSETS (X1) -0.081	Short-term Liquidity Cushion	RETAINED EARNINGS / ASSETS (X2) 0.394	Cumulative Reinvestment Power
EBIT / TOTAL ASSETS (X3) 0.181	Asset Earning Efficiency	BOOK EQUITY / TOTAL LIAB (X4) 0.67	Capital Structure Protection
Altman Result: Z"-Score = 2.67 Zone: SAFE ZONE Banding: Safe > 2.60, Grey 1.10 - 2.60, Distress < 1.10			

13 Piotroski F-Score (9-Factor Fundamental Quality)

7/9 STRONG

Positive Net Profit	PASS (+1)	Positive Return on Assets (ROA)	PASS (+1)
Positive Operating Cash Flow (CFO)	PASS (+1)	Cash Flow exceeds Net Income (Clean Accruals)	PASS (+1)
Leverage stable or decreasing YoY	PASS (+1)	Liquidity ratio stable or improving YoY	FAIL (+0)
Zero equity share dilution YoY	FAIL (+0)	Operating margin resilient YoY	PASS (+1)
Asset turnover efficiency maintained YoY	PASS (+1)		

14 Sloan Accrual Anomaly Ratio

CONSERVATIVE (CFO >> PAT)

SLOAN ACCRUAL RATIO -15.02%	CONSERVATIVE (CFO >> PAT)	ACCOUNTING ACCRUALS Rs. -59,523 Cr	PAT minus Operating Cash Flow
Accrual Finding: Accrual Ratio -15.0%: CONSERVATIVE (CFO >> PAT)			

MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	2/2	Mass-market consumer recall in national connectivity. High operating margin (>25%) reflects pricing power.
Switching Costs	1/2	Family bundled plans and fiber broadband create modest retention.
Network Effects	2/2	Interconnected broadband and mobile subscriber network.
Cost Advantage	2/2	High-density optical fiber infrastructure reduces marginal data transit cost. Resilient operating margins prove cost efficiency.
Regulatory License	2/2	Exclusive DoT spectrum licenses and multi-decade telecom permits.
Patents/IP	1/2	Proprietary 5G RAN stack and telecom cloud infrastructure.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 11,65,710 Cr) drives structural procurement scale.

16 Ownership Structure & Management Trust

PROMOTER HOLDING 50.07%	Trend: FALLING	INSTITUTIONAL FII / DII 26.48% / 20.64%	High Institutional
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 0 Qtrs Contraction	HEALTHY
STRENGTHS (+): +2 Regulatory compliance +1 Quarterly delivery consistency +1 Pledging <5% +1 FII stake >=10% +1 Cycle resilience +1 Audit disclosure & accounting transparency UNMET CRITERIA (+0): Promoter trend stable/rising			

17 The Pulse Score & What-If Matrix

PASS: Zero existential balance sheet or governance red flags. (Operational watch items tracked in Sections 05 & 09).			
BASELINE FINANCIALS (TTM): Revenue: Rs. 1,24,600 Cr Net Profit (PAT): Rs. 15,408 Cr EPS: Rs. 26.05 Margin: 12.37% Dividend Yield: 1.29%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (10Y)	PROJECTED PAT (10Y)
Bear Case (-5.0% vs Base 10.4% Margin)	Not found	Not found	Not found
Base Case (Historical Avg 12.4% Margin)	Not found	Not found	Not found
Bull Case (+3.5% vs Base 13.9% Margin)	Not found	Not found	Not found
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 10.9% + Dividend Yield 1.29% (Total Return: 12.22% CAGR) over 10Y -> Approx Rs. 8,16,740. Sensitivity: Assumes constant valuation multiple (P/E 71.5 sustained). Mean-reversion to sector average (P/E 24) would adjust annualized return to 26.19% (Approx Rs. 1,06,270).			
PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN):			
01. Valuation within fair/attractive range	FAIL	02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady)	FAIL
03. Operating profit expansion solid (>8% CAGR & no consecutive drops)	PASS	04. Solvency & liquidity balance sheet sound (zero watch/weak metrics)	FAIL
05. Return on Equity (ROE) exceeds 15%	FAIL	06. Return on Capital Employed (ROCE) exceeds 15%	FAIL
07. Promoter shareholding stable/accumulating (or institutional backing >=40%)	FAIL	08. Promoter shares unencumbered (pledge <=10%)	PASS
09. Defensible competitive moat (score >=5/14)	PASS	10. Management trust & capital allocation score >=4/8	PASS
Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 7 governance benchmarks (/8). Data confidence: 14/14 (HIGH). Regulatory Disclaimer: Stock Pulse is an automated fundamental computational tool and does not issue buy, sell, or hold recommendations, nor price targets. Figures parsed directly from public filings (Screener.in, NSE, BSE) at generation time. Not investment advice.			